

become contrarian until that idea had already gotten so popular that contrarianism became the accepted view. The true contrarian is not the investor who takes the opposite side of a popular hot issue (i.e., shorting a stock that everyone else is buying). The true contrarian waits for things to cool down and buys stocks that nobody cares about, and especially those that make Wall Street yawn.

When E.F. Hutton talks, everybody is supposed to be listening, but that's just the problem. Everybody ought to be trying to fall asleep. When it comes to predicting the market, the important skill here is not listening, it's snoring. The trick is not to learn to trust your gut feelings, but rather to discipline yourself to ignore them. Stand by your stocks as long as the fundamental story of the company hasn't changed.

If not, your only hope for increasing your net worth may be to adopt J. Paul Getty's surefire formula for financial success: "Rise early, work hard, strike oil."